

EMPLOYEE SEPARATION MANUAL

Ver. 5.0

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Revision History

The Revision History Table below provides a record of all revisions made to this document throughout its life cycle. Updates are tracked by the date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

Effective Date	Version #	Change Description / Reason	Prepared/ Revised By	Reviewed by	Approved by
01-Apr-23	2.0	Clause 9.2 revised Clause 8.1.1 added	HR Compliance Team	Corporate HR	Head HR
13-Apr-23	3.0	Clause 9.2 revised Clause 7.3 revised	HR Compliance Team	Corporate HR	Head HR
01-Mar-25	4.0	Clause revised 4.1.4 Clause revised 4.2.1 Clause revised 11.1	Corporate BHR	Lead BHR	Head HR
05-May-26	5.0	Nomenclature Change	Vertical Head - HRRM	Head – BHR, TMOD & TA	Chief Human Resources Officer and Head Artificial Intelligence

Contents

EMPLOYEE SEPARATION MANUAL	1
1. PURPOSE	4
2. SCOPE	4
3. MANUAL	4
4. SEPARATION / EXIT	4
5. ABSCONDING	5
6. TERMINATION	5
7. RETIREMENT	7
8. UNFORSEEN CIRCUMSTANCES	7
9. FULL AND FINAL SETTLEMENT	8
10. EXCEPTION MANAGEMENT	8
11. AMENDMENTS TO MANUAL	9

1. PURPOSE

The objective of the manual is to define the process of separation for exiting employee and to ensure better employee experience, compliance with the relevant legal & statutory provisions.

2. SCOPE

This manual is applicable to all on roll Employees ("employee") of Poonawalla Fincorp Limited, its subsidiaries and group companies ("PFL/Company").

3. MANUAL

The manual outlines broad guidelines for exit procedures for various reasons and on account of

- Voluntary Resignation
- Termination of services
- Retirement
- Absconding from office
- Unforeseen circumstances

4. SEPARATION / EXIT

4.1. Resignation

- 4.1.1. Any employee who wishes to voluntarily leave the services of the company is required to submit his resignation to the reporting manager through HRMS portal

4.2. Notice Period

- 4.2.1. Employee may resign from the services of the Company by giving applicable notice ("Notice Period"), as per the matrix below, in writing or in lieu of the same upon payment of gross salary for the applicable Notice Period, as on the date of such resignation.

Level (HR Grade)	Notice Period on Probation (In days)	Notice Period after Confirmation (In days)
Upto EVP	30	90
President & above	NA	90

- 4.2.2. In case an employee resigns from the Company without serving the whole notice period or a part of it, the Company, at its sole discretion, shall be entitled to deduct an amount equivalent to the gross salary payable for such a shortfall in the Notice Period, from the full and final settlement amounts payable to Employee in accordance with the terms of employment with the Company, however the Company at its sole discretion, waive any such requirement of serving whole of

the Notice Period or a part of it. There will be no waiver of the notice period for any employee.

4.3. Last working day and handover

4.3.1. The last working day will be determined according to the Notice Period policy.

4.3.2. If the last day of the notice period falls on a holiday or weekly-off, the employee shall be relieved on prior working day to such holiday/ weekly off.

4.3.3. Before being relieved, the employee to the satisfaction of the Company, must submit all Company assets, ID card, IT equipment (if any) to respective SPOC of department and payoff outstanding loan/advances to the Company and must acquire clearance from admin, IT and finance department on the HRMS tool. In the absence of completing the above, Company may deduct the depreciated amount of such assets in possession of employee and outstanding loans/advances through full & final settlement.

4.3.4. Only after completion of all the above formalities, employee will be relieved of his/her duty.

4.4. Leave during Notice Period

4.4.1. Employees will be entitled to avail maximum 5 (five) leaves subject to the leave balance availability and approval of reporting Manager, if employment is confirmed with the Company.

5. ABSCONDING

5.1. Employees are termed as absconding when any employee remains absent from duties or refrains from attending the last posting location/office for more than five (5) continuous days without approval

5.2. In case employee does not report to office within the stipulated time as advised in absconding letters, employee termination process will be initiated as per termination process of the Company.

6. TERMINATION

6.1. Termination of service here means dispensing the services of an employee with immediate effect for reasons other than his/her voluntary resignation from service or retirement due to superannuation under the rules of the company.

6.2. The services of the employee with the Company are liable to be terminated, at the sole discretion of the Company as below:

- Without assigning any reasons and by giving required notice period intimation as per the clause mentioned in the employment contract or this manual, whichever is later. However, the Company may at its sole discretion waive such notice period requirement by paying to the employee gross salary for the notice period waived off.

- At any time during employee's services with the company, without any notice, in the event a 'Cause' has been established against such an Employee. Such a Cause shall be deemed to have accrued to the Company and against the Employee on account of the following, but not limited to:

Any breach of –

- Terms and conditions of employment with the Company;
 - Rules and regulations of the Company.
 - Integrity policy of the Company and
 - Company's Code of Conduct and Ethics as applicable/ may be made applicable to Employees from time to time.
- Any false, misleading and, or incorrect information furnished by employee at the time of seeking employment with the Company and/or during the joining process, which is established during the background verification process conducted by the Company or otherwise.
 - Any fraud, theft, gross negligence, misconduct being done by employee during the course of employment with the Company, including, without limitation, conduct of a felonious or criminal nature, conduct involving moral turpitude, gross negligence, corruption, bribery, forgery, embezzlement of Company funds, misappropriation of Company assets, disloyalty, misdemeanor, un-authorized leaves or any other offence, which may or may not be directly connected to the day to day business of the Company.
- 6.3. In case of a misconduct, a detailed process for investigating such a misconduct shall be followed as per the Company policy as on date of such a misconduct.
- 6.4. Termination on account of performance may be initiated, but not limited to the following grounds:
- Unsatisfactory performance after extension of probation
 - Unsatisfactory performance during the performance improvement program (PIP)
- 6.5. In all such cases, the employee needs to complete all exit formalities and take an exit from the Company with immediate effect without serving any notice period and without any amount being payable by the Company for such an exit due to nonperformance.
- 6.6. In the event of termination of services on any account, only a service letter will be issued, and the full and final settlement of employee shall be carried

out after the last working day on upon proper handover of the Company assets and properties.

- 6.7. The termination of employment of employee on any account (except on account of death of employee) shall not release the employee from any of liabilities or obligations as set forth in the employment contract.

7. RETIREMENT

- 7.1. The retirement age of an employee will be 58 years and shall not be extended unless allowed by law.
- 7.2. The employee shall be relieved of his/her duties in the Company on the day he/ she attains the retirement age as referred in Clause 7.1.
- 7.3. An employee shall have no right for any extension of services beyond retirement date and extension, if any, shall be at Company's sole discretion and on such terms and conditions as the Company deems fit and appropriate at the time of considering such an extension of services.

8. UNFORSEEN CIRCUMSTANCES

8.1. HEALTH REASONS

- 8.1.1. If the employee is incapacitated on account of medical reasons or long ailment and is unable to report for work and perform duties for a period of more than 30 days or the employee is unavailable for work intermittently for more than 30 days during the preceding 4 months on account of medical reasons or illness, he/she shall be liable to be separated from the services.

All such cases will be reviewed by the Management for deviation, if any, and for final closure action recommendation. Employee shall submit the relevant medical treatment documents, report and/or certificates, as may applicable to the company for his/her absence from duty due to medical reason.

8.2. DEATH

- 8.2.1. The employment shall be ceased immediately upon employee's death and legal heirs /nominees of such a deceased employee shall be entitled to receive outstanding remuneration and other applicable benefits of deceased employee of the Company.
- 8.2.2. The date of death as per the certificate issued by a registered medical practitioner or Registrar of Births and Deaths or any other statutory authority competent in this behalf will be construed as the last date of employment.

9. FULL AND FINAL SETTLEMENT

9.1. Full and Final settlement will be processed post completion of exit formalities to the satisfaction of the Company.

9.2. For a resigned employee, exit / separating month's salary will be withheld however, in case the last working day is prior to 20th day of calendar month, then the salary for the month prior to exit/separating month also shall be withheld and will be processed through full & final settlement post completion of clearance

from all departments. If required, the company may hold a salary for full or partial Notice Period to recover outstanding dues (if any).

9.3. Employee's full & final settlement process to be kept on hold if an employee has violated the company policy related to code of conduct, breach of integrity or involved into any legal dispute with the company or fraudulent activity. The instruction from Legal, Audit, Fraud Control department or Management is required for the same.

9.4. Full and final settlement will be processed within 45 days of last working day, subject to statutory or any other applicable deductions, if any & clearances

Date of leaving	Full and final settlement period
Between 1 st to 15 th of the month	Before 10 th of subsequent month
Between 16 th to 31 st of the month	Before 20 th of subsequent month

9.5. Employees on notice period will not be eligible for variable pay unless eligible for such amounts as per the Company policy as on date of resignation of employee.

9.6. Gratuity, if eligible, shall be paid as per the provisions of the Payment of Gratuity Act.

9.7. Below will be considered as part of the full and final settlement on applicability basis-

- ☐ Salary dues
- ☐ Flexi benefit reimbursement
- ☐ Any reimbursement expenses incurred
- ☐ Incentive/ bonus
- ☐ Statutory payments like Gratuity/ Provident Fund/ Pension Fund
- ☐ Leave encashment if any
- ☐ Tax implications

10. EXCEPTION MANAGEMENT

Any exception to the manual will require approval from Chief Human Resources Officer and Head Artificial Intelligence.

11. AMENDMENTS TO MANUAL

Business HR and HR Ops team shall jointly oversee the implementation of this Manual and review its functioning periodically. Changes, if any, in the manual shall be approved by the Chief Human Resources Officer and Head Artificial Intelligence.

Classification | INTERNAL